Marketing Budget

Year	Budget (3% of Total Sales Revenue)	Assumptions
2024	$112,776.00	2
2025	$338,328.00	3
2026	$563,880.00	4

Marketing Expenses

Marketing Expenses	2024	2025	2026	Assumptions
Email Marketing Campaigns	$2,500.00	$10,000.00	$15,000.00	5
Billboards	$35,928.00	$71,864.00	$215,568.00	6
Partnerships with Retailers	$25,088.00	$75,264.00	$111,312.00	7
Digital Marketing	$49,260.00	$181,200.00	$222,000.00	8
TOTAL	$112,776.00	$338,328.00	$563,880.00	

Assumptions

1	We'll use 3% of the sales revenue for our marketing every- year. **Why 3%:** The 3% allocation is a standard percentage used in many industries to balance between aggressive marketing and maintaining profitability (Advertising - Germany | Statista Market Forecast) It ensures that marketing efforts are sufficiently funded to build and sustain market presence without overextending financial resources. This approach allows for scalability, with the budget increasing proportionally to the growth in sales revenue, ensuring continuous support for marketing initiatives. **In 2024**, $3,759,200 x 0.03 = $112,776.00 **In 2025**, $11,277,600.x 0.03 = $338,238.00 **In 2026** $18,796,000 x 0.03 = $563,880.00\
2	**2024:** The initial market entry into Germany necessitates a cautious approach with a modest budget. The focus is on digital marketing, and initial partnerships with local retailers, Billboards, and Email Marketing Campaigns to build brand awareness (Gtai)

3	**2025:** The significant increase in budget suggests confidence in revenue growth and allows for more ambitious projects. (Advertising - Germany | Statista Market Forecast) The focus will be on: Continuing to build on the brand presence established in 2024 with more efficient spending in the same areas as the previous year by increasing investment. Optimizing marketing strategies based on the performance and feedback from the previous year.
4	**2026:** The substantial growth reflects continued revenue growth and a strong market presence. The focus is on long-term strategic initiatives to sustain growth. Further, optimizing marketing strategies and continue to build strong relationships with local retailers. Evaluate the performance of previous investments and adjust strategies as needed to maximize returns.
5	**Email Marketing:** Amt. $2,500 in 2024 is allocated to email marketing, assuming that Wuxly is buying Mailchimp Essential plan to reach 50,000 recipients at $537+69.81 (HST)=$607/month, which equals approx. $2,500/month and $7,282/year, an estimated number of ($607x4months) = $2,428 taken. For coming years, Wuxly will continue to use the essential plan but will pay more to reach more recipients (Essentials Pricing Plan | Mailchimp)
6	**Billboards:** The average price of a billboard advertisement in major cities in Germany (Berlin, Hamburg, and Munich) ranges from €1,000 - €5,000 (or CAD $1,497 - $7,485) per week. ("Cost of Poster Advertising in Europe") In 2024 (Sept-Dec): Wuxly is planning on having 1 billboard ad in each one of the major cities for 2 weeks in a month. So the monthly cost is: $1,497 x 1 billboard x 2 weeks x 3 cities = $8,982 per month In 2025, Wuxly will increase its spending on billboard ads in the next years to increase its visibility, by having at least 1 billboard a week in a month in each major city. So the yearly cost is: $1,497 x 1 to 2 billboards x 1 week x 3 cities = $5,988/month (approx) or $71,864/year (approx.) In 2026, Wuxly will have 2 billboards in the 3 major cities for 2 weeks a month. So the yearly cost is: $1,497 x 2 billboards x 2 weeks x 3 cities = $17,962/month or $215,568/year

7	**Partnership With Retailers:** A partnership with retailers involves conducting market research, paying entry fees, allocating funds to create marketing materials for retailers, and managing logistics and distribution. Strategic retail partnerships can greatly enhance Wuxly's brand visibility and increase sales in the German market. The budget designated for partnerships with retailers sees incremental growth each year, reflecting the strategic focus on forming alliances to expand distribution channels and reach a wider audience. 2024 (Sept-Dec): $25,088 For the initial market entry into Germany, this budget is allocated to establish foundational partnerships with key retailers. This budget covers market research, entry fees, and the creation of marketing materials to support the launch. It reflects a strategic approach to building initial relationships and gaining brand visibility while balancing initial financial constraints. 2025: $75,264 This indicates confidence in revenue growth and a commitment to expanding retailer partnerships. This higher budget supports broader and more in-depth market research, enhanced marketing materials, and possibly additional entry fees as Wuxly scales up its operations and strengthens its presence in the German market. 2026: $111,312 This reflects substantial revenue growth and a strong market presence. This budget allows for continued expansion and deepening of retailer partnerships. It includes funds for ongoing market research, creating more sophisticated marketing materials, and managing complex logistics as Wuxly aims to solidify its market position and maximize sales opportunities.

8	**Digital Marketing:** Digital marketing efforts include Influencer and Social Media Marketing. For Influencer marketing, we are targeting German Influencers having various levels of influence. The average amounts they are paid are: Micro-influencers (10,000–50,000 followers): $100 to $500 per post Mid-tier influencers (50,000–100,000 followers): $500 to $5,000 per post. Macro-influencers (100,000–500,000 followers): $5,000 to $10,000 per post. Mega-influencers (500,000+ followers): $10,000+ per post. (“Influencer Pricing: The Cost of Influencers in 2024”) For 2024 (Sept-Dec), Wuxly is hiring 13 micro-influencers each month paying approximately $200 each, totaling $2,700. Additionally, they are engaging 8 mid-tier influencers each month at a rate of $800 each, amounting to $7,100. For 2025, Wuxly is hiring 13 micro-influencers paying approximately $200 each, totaling $2,700. Additionally, they are engaging 8 mid-tier influencers at a rate of $800 each, amounting to $7,100. For 2026, Wuxly is hiring 1 macro-influencer paying approximately $5000 per month, and 1 Mega-influencer at a rate of $10,000 per month. For Social Media Marketing, the average rate for social media ads ranges from $650 to $2,500 a month (Smith). Wuxly's budget for social media activities is set at $2,500 a month for 2024 (Sept-Dec). This budget increases to $3,000 per month in 2025 and $3,500 in 2026 In the first year, the total budget for digital marketing is $49,200 over four months. This includes $10,800 for micro-influencers, $28,400 for mid-tier influencers, and $10,000 for social media activities. In 2025, the total digital marketing budget for the year is $181,200. This includes $85,200 to mid-tier influencers, $60,000 to macro-influencers, and $36,000 dedicated to social media efforts. In 2026, the total digital marketing budget for the year is $222,000. This includes $60,000 to macro-influencers, $120,000 to mega-influencers, and $42,000 dedicated to social media efforts.